

GENERAL TERMS AND CONDITIONS (PURCHASE ORDER)

1. COMPLETE AGREEMENT

This Purchase Order, including these terms and conditions, the specifications hereto and any additional terms and conditions incorporated into and attached hereto, constitutes the sole and entire agreement between the parties hereto. The Vendor's quotation is incorporated herein and made a part of this Purchase Order only to the extent of specifying the nature and description of the goods ordered and then only to the extent that such items are consistent with the other terms of this Purchase Order. No other terms or conditions shall be binding upon the Purchaser unless accepted by it in writing.

2. CHANGE/TERMINATION

2.1 The Purchaser shall have the right at any time by a written Purchase Order Revision to make any changes including additions or deletions from quantities originally ordered or in respect of the specification (s), drawings, designs, date and place of delivery, packaging, quality and means of shipment. The Vendor will evaluate the consequences of such change including, but not limited to, any increase or reduction in the cost to the Vendor or any delay of delivery, and shall inform the Purchaser within 24 (twenty-four) hours of such evaluation of such fact. The Vendor shall not action any amendment or variation until all consequences shall have been approved by the Purchaser in writing.

2.2 Purchaser may at any time by a written Purchase Order Revision terminate this Purchase Order as to all or any portion of the goods then not shipped, subject to an equitable between the parties as to any work or materials then in progress provided that no such adjustment be made in favour of the Vendor which are the Vendor's standard stock.

2.3 Purchaser, at any time, has the right to terminate this Purchase Order either partly or entirely due to any reason by providing 5(five) calendar days prior written notice of the termination to the Vendor.

2.4 The Purchaser may without prejudice to any other of its rights remedies give written notice to the Vendor to terminate this Purchase Order forthwith, if:

- (i) the Vendor commits a material breach of this Purchase Order or persistently or repeatedly commits a breach of this Purchase Order or of any of these terms and conditions and fails to take action to remedy the default (if capable of remedy) to the reasonable satisfaction of the Purchaser within 30 (thirty) days of receipt of a notice from the Purchaser, such notice specifying the breach complained of and the steps required to remedy the same; or

- (ii) there is a meeting of creditors of the Vendor or any arrangement for composition with or for the benefit of the Vendor's creditors (including any voluntary arrangement) is proposed or entered into by or in relation to the Vendor; or

- (iii) a receiver, administrator, administrative receiver, liquidator or similar officer takes possession of or is appointed over the whole or any substantial part of the assets of the Vendor; or

- (iv) the Vendor ceases to carry on business or is unable to pay its debts; or

- (v) a petition is presented or a meeting convened for the purpose of considering a resolution for the making of an administration order, the winding up, or dissolution of the Vendor; or

- (vi) the Vendor does not comply with the applicable laws.

In the event that the Purchaser terminates this Purchase Order due to the default of the Vendor or under this Section 2, payment shall be made only for completed goods supplied up to the date of termination in accordance with the terms of this Purchase Order, providing these goods are exploitable and utilizable by the Purchaser. The Purchaser's right to claim damages of any kind shall not be affected by the ability to utilize or exploit the goods. The Purchaser shall not have any liability for damages as a result of the termination.

- 2.5 If (i) the Vendor; or (ii) any and all personnel engaged by the Vendor, including the directors, officials, employees, agents, consultants, invitees in the execution of the sale and delivery of goods as well as other Vendor's obligations based on this Purchase Order; or (iii) any person designated by the Vendor as representatives appointed from time to time by the Vendor pursuant to a legal documentation that is valid and enforceable and acceptable and approved by the Purchaser, participate or have participated in any activity which is detrimental to the operational activities of the Purchaser, including but not limited to initiate, instigate, organize, participate, get involved in any way in a riot, blockade, sabotage or demonstrations that damage, the Purchaser has the right to terminate the Purchase Order and prevent Vendor in the bidding process for the work in the future with the Purchaser through a notice of delays and assurances or contingency plans with respect to those matters. The Vendor will notify the Purchaser immediately of any actual or potential labour dispute delaying or threatening to delay timely performance of this Purchase Order and will include all relevant information. If a contractual penalty has been agreed upon for delay caused by the Vendor, the Purchaser reserves the right to claim damages subject to evidence. Penalty calculation is 0.1 % of total purchase value per day of delay, termination, which contains the effective date of

termination (which date shall not be less than five (5) days after the date such notice is delivered to the Vendor).

2.6. In the event of a termination pursuant to Section 2.5 above, the Vendor is not allowed to participate in any tender held by the Purchaser until the expiry of the period as stated in the notice of termination or until the suspension of the tenders be revoked by the Purchaser, whichever is the earliest. The circumstances of such a termination shall be taken into consideration in the assessment of any tenders in the future that will be filed by the Vendor after the expiry of the suspension period.

2.7. Termination of this Purchase Order for whatever reason shall not affect the accrued rights of the Purchaser arising in any way out of this Purchase Order as at the date of termination and in particular but without limitation to the right to recover damages against the Vendor, and all provisions which are expressed to survive this Purchase Order shall remain in full force and effect

2.8. To give full effect to the rights of the Purchaser to earlier terminate this Purchase Order as provided herein, each of the Vendor and the Purchaser hereby irrevocably and unconditionally waives the provisions of (and its right under) Article 1266 of the Indonesian Civil Code requiring judicial cancellation of this Purchase Order as a precondition to such termination.

3. PRICE AND PAYMENT

The price herein specified shall, unless otherwise expressly stated, exclude all taxes and duties of any kind which either party is required to pay with respect to the sales of goods or service covered by this Purchase Order, but shall include all necessary cost for packaging, loading and shipping. Unless agreed otherwise, payment shall be effected only after performance and/or delivery in accordance with the terms of this Purchase Order and receipt of an auditable and verifiable invoice by the Purchaser. For the calculation of payment due dates, deliveries carried out prior to the agreed delivery dates shall be deemed to have been received on the agreed delivery dates. Unless otherwise agreed Payment shall be made 30 (thirty) calendar days after acceptance and receipt of an auditable invoice by way of bank transfer or cheque. Letter of Credit is not acceptable.

4. DELAYS

The Vendor acknowledges that delivery times and quantities are of the essence and the Purchaser may reject and/or return at the Vendor's expense any goods and/or services or part thereof received before or after the delivery date or in excess of the quantity specified in the Purchase Order. The vendor agrees to take all actions necessary and appropriate to ensure that goods and/or services are received by the Purchaser as required under this Purchase Order. The Vendor will inform the Purchaser promptly of

any occurrence, which will or may result in any delay or delivery at any time or which will or may result in the Vendor's inability to supply the quantities specified in the Purchase Order, The Vendor shall also advise the Purchaser in writing of corrective measures which the vendor is taking to minimize the effect of such occurrence. Except for excusable delay (hereinafter, "Excusable Delay") as set forth below, in the event that the Vendor fails for any reason whatsoever to effect delivery consistent with the delivery dates specified in the Purchase Order, the Purchaser shall be entitled to recover from the Vendor all actual, consequential and incidental losses and damages including, but not limited to, losses and damages relating to and arising out of incremental cost of labour, transportation, production changes and storage.

Either party may suspend performance of this Purchase Order during the occurrence of an Excusable Delay, which shall mean any delay not occasioned by the fault or negligence of the delayed party and which results from (without limitation) Acts of God or public enemy, restrictions, prohibitions, priorities or allocations imposed by governmental authority, embargoes, fires, floods, typhoons, earthquakes, epidemics, unusual severe weather and delays of similar natural or governmental causes, or any other circumstances beyond such party's reasonable control. Nothing contained in this Section 4 shall limit either party's rights under this Purchase Order. Further, the Purchaser shall be entitled to obtain the goods and/or services covered by this Purchase Order from other sources for the duration of the Vendor's inability to perform due to Excusable Delay and to reduce without any obligation to the Vendor, the quantity of the goods and/or services specified in this Purchase Order.

In the event that the Vendor discovers any fact which may, or could with the passage of time, result in Excusable Delay, the Vendor will immediately advise the Purchaser of such fact and use its best endeavors to take all measures and precautions to reduce the effect of the Excusable Delay.

In addition, at any time, at the Purchaser's request, the Vendor will furnish to the Purchaser such information as the Purchaser may request concerning matters which could result in Penalty calculation is 0.1 % per day with maximum 3% of total purchase value.

Delays and assurances or contingency plans with respect to those matters. The Vendor will notify the Purchaser immediately of any actual or potential labour dispute delaying or threatening to delay timely performance of this Purchase Order and will include all relevant information. If a contractual penalty has been agreed upon for delay caused by the Vendor, the Purchaser reserves the right to claim damages subject to evidence.

Penalty calculation is 0.1 % of total purchase value per day of delay.

5. DELIVERY/PASSING OF RISK

Unless otherwise agreed, the Vendor shall deliver carriage paid to the stated place of use or shipment address ("CPT") in accordance with Incoterms 2010. Without prejudice to the Purchaser's rights to reject and/or return the goods pursuant to these terms and

conditions, title in the good shall pass to the Purchaser upon payment. Risk in the goods shall remain with the Vendor until the Purchaser's express acceptance of the goods. In case of any defects concerning the delivered goods and/or services the Purchaser will inform the Vendor immediately after their disclosure in the proper course of business. To this extent the Vendor agrees to waive the defense of belated deficiency claim. Part deliveries are not permitted unless expressly agreed otherwise.

6. NON-WAIVER

Failure of the Purchaser to insist upon performance of any of terms and conditions hereof or failure of delay to exercise any rights or remedies provided herein or by law or to properly notify the Vendor in the event of breach or the acceptance of or payment for any goods hereunder or approval of design, shall not release the Vendor of any of the warranties or obligations of this Purchase Order and shall not be deemed a waiver of any right of the Purchaser to insist upon strict performance hereof or any of its right of remedies as to any such goods regardless when shipped, received or accepted, or as to any prior or subsequent default hereunder, nor shall any purported oral modifications or rescission of this Purchase Order by the Purchaser operate as a waiver of any of the terms hereof.

7. INSPECTION

The Purchaser, its successors in interest and its duly authorized representatives shall have the right to inspect and test the goods at any time during manufacture and prior to shipment, and to final inspection within a reasonable time after arrival at the ultimate destination. The goods shall not be deemed accepted until after said final inspection. The failure to make any inspection of, or payment for or acceptance of the goods, shall in not way impair the Purchaser's right to reject nonconforming goods, or to avail itself of any other remedies to which the Purchaser may be entitled, notwithstanding Purchaser's knowledge of the nonconformity, its substantiality the ease of its discovery.

8. EXPEDITING

The goods and/or services provided under this Purchase Order shall be subject to expediting by the Purchaser and/or its duly authorized representatives who shall be afforded reasonable access to the shop, factories and place of business of the Vendor and its sub-vendors and suppliers for such expediting. As required by the Purchaser, the Vendor shall provide schedules and progress reports for the Purchaser's use in expediting and unpriced copies of all suborders on vendor's subvendors and suppliers.

9. WARRANTIES AND INDEMNITY

The Vendor warrants for a period of 2 (two) years from the date of receipt of the goods for each Purchase Order issued, unless stated otherwise in the Purchase Order, that the goods herein referred to shall be free from material defect in design, material, workmanship and title, and shall conform in all respects with the terms of this Purchase

Order and shall be of the best quality. If no placing the equipment into service for purpose for which it was purchased that the equipment or any part thereof does not conform to these warranties and the Purchaser so notifies the Vendor within a reasonable time after its discovery, the Vendor shall thereupon promptly correct such nonconformity at its sole, expense, such expense to include all labour, accommodation and transport costs. The conditions of any subsequent tests shall be mutually agreed upon by the Purchaser and Vendor. the Vendor shall be notified of, and may be represented at, all tests which may be made. Except as otherwise provided in this Purchase Order, the Vendor's liability hereunder shall extend to all damages proximately caused by the breach of any of the foregoing warranties or guarantees, but such liability shall in no event include loss of profit or loss of use. NO IMPLIED WARRANTY OF MERCHANTABILITY OR OF FITNESS FOR PURPOSE SHALL APPLY. A notice of defects by the Purchaser shall suspend the warranty period for the defective part. Once the defect has been remedied, the warranty period commences a new. The Vendor shall rectify at its own cost any defects as may be capable of remedy within 1 (one) week from notification of such defects by the Purchaser. The Vendor guarantees that the goods purchased in this Purchase Order are free from any and all third-party claims and the Vendor has ownership of the goods before they are sold to the Purchaser and that the goods purchased are original, new, and of good quality and suitable for use. The Vendor will indemnify and hold the Purchaser, its agents, servants, officers, directors and employees, harmless against liability, costs, damages, losses, claims and expenses (including legal expenses) occasioned by or arising out of any claim for death, personal injury or property damage, which results from (a) any defect or alleged defect in the goods and/or services; (b) the Vendor's breach of any term of this Purchase Order; or (c) the fault or negligence of the Vendor. Purchase order delivery detail in accordance to INCOTERMS 2010 regulation including risk transfer & detail costing on packaging, warehousing, freight and etc.

10. INFRINGEMENT

10.1 All copyrights, industrial property rights and legal rights of a nature to the same related to the goods and/or services agreed and all other written, machine-readable or other work ("Intellectual Property Rights") resulting or arising from the performance of this Purchase Order shall be assigned to the Purchaser without any further conditions and at no additional expense. The Purchaser shall be exclusively entitled to such rights without any limits as to area, period or contents. In particular the Purchaser shall be entitled to extend assign, revise, adapt, modify, duplicate or publish such rights without the Vendor's consent. In addition, the Purchaser shall be entitled to apply for a patent on patentable development results.

10.2 The Vendor warrants that it has the right to license any third-party Intellectual Property Rights comprised in the goods and/or services provided to the Purchaser and

that the Purchaser shall not be prevented from using the goods and/or services in accordance with this Purchase Order.

10.3 The Vendor shall indemnify the Purchaser and its supplier from and against all liabilities, costs, damages, claims and expenses (including legal expenses) that may be awarded or paid to any third party in respect of any claim or action that the goods and/or services or their use by the Purchaser infringe the Intellectual Property Rights of such third party, unless the Vendor has manufactured and/or provided the goods and/or services in accordance with instructions received from the Purchaser, and the Vendor having taken all reasonable precautions could not have known that following these instructions would result in an infringement of a third party's Intellectual Property Right.

10.4 The parties will inform each other forthwith of all such infringements or suspected infringements of which they became aware. The Purchaser will give the Vendor sole conduct of the defence of any such claims or actions.

10.5 Upon request of the Purchaser, the Vendor shall specify any and all Intellectual Property Rights known or becoming known to him, which are used in the design or manufacture of, or which otherwise affect or relate to the goods and/or services

11. COMPLIANCE

The Vendor warrants that all goods or services furnished hereunder this Purchase Order shall have been produced, sold, delivered and furnished in strict compliance with all applicable laws, regulations, labour agreements, working conditions and technical codes and requirements to which the goods or services are subject. The Vendor shall execute and deliver such documents as may be required to affect or evidence compliance. All laws and regulations required to be incorporated herein by this reference. If the Vendor is required by this Purchase Order to employ workmen at the site of use of the goods supplied hereunder, conditions of such employment shall be consistent with the Purchaser's labor agreement.

12. NO ASSIGNMENT

Vendor is not allowed to conduct any assignment of this Purchase Order or of any rights hereunder or any pledge thereof in any manner in whole or in part by operation of law or otherwise without the prior written consent of the Purchaser.

13. APPLICABLE LAW - DEFINITIONS

The terms of this Purchase Order (including these terms and conditions) shall be governed by and construed in accordance with the laws of the Republic of Indonesia. For the implementation of this Purchase Order and all its consequences and for the adjudication of all disputes arising hereunder, shall be initially resolved through discussion among the **Parties**. Any disputes among the Parties which cannot be resolved

amicably through above-mentioned discussion in thirty (30) calendar days (or a longer period as agreed by the **Parties**), the Purchaser and the Vendor hereby selects and chooses general and permanent domicile at the South Jakarta District Court.

The choice of domicile and the submission to jurisdiction by each of the Purchaser and the Vendor set forth above shall not (and shall not be construed so as to) limit the right of the Purchaser to commence any proceedings arising out of this Purchase Order in whatsoever jurisdiction it shall deem fit, nor shall the commencement of any such legal action or proceeding in one jurisdiction preclude the Purchaser from beginning any further or other such legal action or proceeding in the same or any other jurisdiction.

14. MATERIAL DISCREPANCY

A material discrepancy is defined as the difference between the requirements on the Purchase Order compared to the actual delivery. Examples of the types of discrepancy is short shipped, over shipped, different specification and/or nongenuine product.

The Vendor is liable to any consequences which occur (example but not limited to; freight cost, replacement parts and any custom implication) due to the discrepancy. Actual quantity being packaged must be consistent with the quantities indicated on the documents including proforma invoice and packing list. The discrepancy between the actual quantity packed and quantity stated on the document may cause a penalty or a fine from Indonesian customs to Purchaser. Any costs incurred as a result of the discrepancy will be back charged the Vendor. The Vendor has to deliver genuine products in compliance with the Purchase Order specifications to the Purchaser. Failure to comply with this requirement may lead to purchase termination. In the event of replacing an item on a discrepancy claim, the Vendor is responsible to deliver the goods as per Purchase Order specifications. The Purchaser may offer a written proposal to resolve the material discrepancy via a credit note instead of delivering the outstanding or replacing the incorrect material.

15. REPRESENTATIONS AND WARRANTIES

Vendor represents and warrants that:

i. Implementation of the rights and obligations of the Vendor based on Purchase Order is in accordance with the prevailing laws and regulations; and

ii. Funds used in the transaction based on the Purchase Order shall be in accordance with the terms and conditions of this Purchase Order and will not violate the provisions of Law No. 31 of 1999 as amended by Law No. 20 of 2001 on Corruption, including all applicable laws, rules, regulations, decisions, policies and / or official order applicable to the Purchaser and the main shareholder of the Purchaser. i.e. PT. Ceria Metalindo Prima in the implementation of this Purchase Order.

iii. Vendor shall warrant that, in all of its activities in connection with this Purchase Order and on behalf of Purchaser. Vendor at all times must ensure that none of its officers,

directors, employees, or agents, directly or indirectly will offer, pay or give (or authorize the payment or giving of) any money to:

- (a) anyone who, albeit on a temporary basis and with no compensation, occupies a position, is employed by, or exercises a public function in government entities, legal entities controlled directly or indirectly by public entities, or state-owned enterprises, be them national or foreign;
- (b) an employee, officer or representative of, or any person otherwise acting in an official capacity for or on behalf of, any supra national organization, national, state, municipal or local government (including any court, administrative agency or commission or other governmental authority) or any arbitrator or any quasi-governmental or private body exercising any regulatory, judicial or other governmental or quasi-governmental powers and/or any person who receives salary directly from the state budget or the regional budget;
- (c) a member of an assembly or a committee, or employees engaged in the performance of public duties in accordance with applicable laws and regulations;
- (d) a legislative administrative or judicial official, regardless of whether elected or appointed;
- (e) an officer of, or individual who holds a position in, a political party;
- (f) a candidate for political office;
- (g) an individual who holds any other official, ceremonial, or other appointed or inherited position with a government or any of its agencies;
- (h) an officer or employee of an international organization (including, without limitation, the World Bank, United Nations, International Monetary Fund and OECD);
- (i) a person who or holds himself out to be, an intermediary acting on behalf of an official;
- (j) a person who, although not a public officer, is determined by applicable legislation to be equivalent to a public officer, including a person who receives a salary from a corporation that obtains financial assistance from the state budget or the regional budget or from a corporation whose shares are owned by which receives facilities from the state or the region; or
- (k) an employee of a state-owned company, in any case with the purpose of:
 - a. influencing any act or decision of such person in his/her official capacity;
 - b. inducing such person to act (including through action or omission) in violation of the lawful duty of such person;
 - c. securing any improper advantage; or
 - d. inducing such person to use his/her influence to affect or influence any act or decision of a government authority in order to assist [CONTRACTING PARTY], PT Ceria Metalindo Prima or any other person in obtaining or retaining business for or with, or directing business to, any person.

iv. Vendor is obliged to ensure that in all activities related to this Purchase Order it shall comply with Practical Ethics Policy PT Ceria Metalindo Prima (Benturan Kepentingan)

16. ULTIMATE DESTINATION IS:

Wolo, South East Sulawesi, Indonesia

17. MISCELLANEOUS:

All the discrepancies that occur as in the notice include mismatches description, part number, delivery of goods, quantity, unit, either one or the whole of price, are categorized as default. Defaults imposed to be penalized warning letter/admonition as applicable in PT Ceria Metalindo Prima